



the new venture. To avoid losing touch with your customers, be prepared to recruit people to support your customer service. You will also need to manage increasing demands on existing staff. If they feel too much is being asked of them, they may quit, leaving you to hire and train new employees. Plan your rate of expansion carefully to avoid these problems.

“Scale is important for a start-up. Think big, but take it one day at a time.”

Kunal Bahl, cofounder of Snapdeal

WHAT AN EXPANDING BUSINESS NEEDS

To meet the additional administration and service requirements that come with expansion, you need to take steps in advance to prepare and manage the process effectively.

- › **Recordkeeping and infrastructure** Update your software and systems so that they can manage more products or markets, when the demand for tracking business operations also increases.
- › **Capital** Plan ahead to secure the extra financing that expansion often requires for new equipment, staff, or other needs. You can then show investors or lenders a business plan and projections based on current trading.
- › **Personnel** Manage your existing staff, promoting where appropriate, and hire new members to fill key roles. Treat your personnel with sensitivity, so that you maintain a positive and engaged workforce.
- › **Delegating** Be less hands-on. As your business expands, your role will demand more leadership and the delegation of day-to-day operations to others in your team. Review how your business is managed, (see pp.164–165).

Partnerships

Teaming up with a partner business could enable you to share resources or expertise. The business may be able to provide a specific service that your business needs in order to expand..



Global expansion

Crossing national borders (physically or online) can bring you rewards, but poses logistical challenges. To be successful, you may need to employ a mixture of strategies. Consider partnering with companies in the new region or seeking help from trade organizations.



Regional expansion

Establishing new locations, such as a branch office or store in another part of the country, or supplying your product to outlets in new regions can all help you to expand.

